



Results (standalone) above estimates with Lifestyle growing 34% YoY and Gross Margins at 54.6% one of the best in 18 quarters.

- Revenue (standalone) grew by 22.3% YoY to Rs 21813.8mn aided by 34% growth in lifestyle business.
- EBIDTA margins stood at 17% as against 14.4% YoY mainly on account of lower raw materials to revenue.
- Gross Margins improved on account of price increases taken, higher sale of wedding apparels and formal witnessing bounce back.
- Lifestyle brands did extremely well with 77% growth in its EBIDTA. The segment contribution to EBIDTA was ~78% in Q4FY22.
- PBT for Q4FY22 was profit of Rs 607.7mn as against loss of Rs 893.5mn YoY.
- PAT stood at Rs 496.7mn as against a loss of Rs 893.5mn.

Outlook:

- Management expects FY23 to be a better year on a YoY basis as no covid restrictions will help Pantaloons perform better that has higher number of mall stores.
- The recent funding of Rs 21950mn from GIC Singapore would help scale up the business which are under invested.

Financial Summary

Y/E Mar (Rs mn)	FY20*	FY21*	FY22*	FY23E*	FY24E*
Net sales	87,425	51,811	78,242	108,272	123,128
Adjusted net profit	(1,439)	(6,496)	(807)	1,661	2,677
EPS (Rs)	(2)	(7)	(1)	2	3
growth (%)	NA	351	(88)	(306)	61
P/E (x)	NA	(36)	(299)	147	97
P/B (x)	18	9	8	4	3
EV/EBITDA (x)	20	45	26	16	15
D/E	2	0.4	0.4	0.3	0.0
RoCE (%)	12	(7)	6	8	9
RoE (%)	(13)	(24)	(3)	3	3

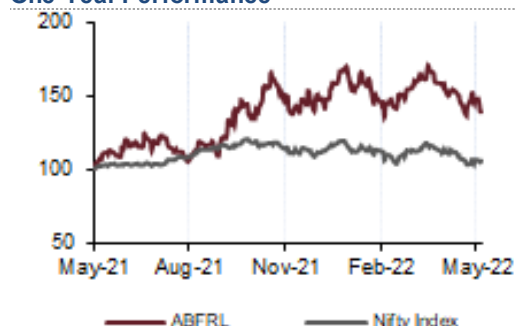
* Post IND-AS 116

Rating	TP (Rs)	Up/Dn (%)
BUY	340	32

Market data

Current price	Rs	257
Market Cap (Rs.Bn)	(Rs Bn)	242
Market Cap (US\$ Mn)	(US\$ Mn)	3,115
Face Value	Rs	10
52 Weeks High/Low	Rs	322 / 181.7
Average Daily Volume	('000)	2,590
BSE Code		535755
Bloomberg		ABFRL.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	56.09	56.09
Public	43.41	43.41
Total	100	100

Source: BSE

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Segments

A. TOTAL MADHURA SEGMENT 28% YoY to Rs 15590mn

|| EBIDTA Rs 3080 mn +64% YoY

1. Madhura Lifestyle Brands +34% YoY to Rs 13420mn (+25% Pre Pandemic levels) || EBIDTA Rs 3120mn v/s Rs 1760mn YoY. Margin 23.3% v/s 17.55% YoY and 15.3% prepandemic

- Wholesale +71% YoY to Rs 4190mn || +2% pre-covid
- Retail +25% YoY to Rs 6160mn || +34% over Pre-Covid
- Others +16% YoY to Rs 3070mn || +51% over Pre Covid

KTA's

- LTL @ 13% in retail business
- Margin expansion of 500bps
- Peter England Red now available at 400+ stores
- Introduced kids segment in Peter England; scaled up kids wear in Allen Solly
- Stores @ 2522 (+143 YoY)

2. Other Madhura business which includes innerwear +1% YoY to Rs 2170mn || EBIDTA loss at Rs 40mn v/s 120mn profit YoY.

- Innerwear Outlets @ 27000+
- Athleisure run-rate @ Rs 500crs
- E-commerce grew by 44% YoY
- Forever 21 full year revenue +13% YoY
- American Eagle full year Revenue +79% YoY
- Super Premium Revenue +60% YoY for FY22

B. PANTALOON +13% YoY to Rs 6750mn || EBIDTA +14%YoY to Rs 2160mn. EBIDTA margins 12.2% v/s 14.4% YoY

- New Store net additions 31. 40% additions were via franchise route
- March-2022 witnessed +50% growth
- LTL @ 33% for full year FY22
- E-commerce +81% YoY and own website +63%.
- Own Brands: MFL : Others @ 59:9:32 v/s 61:8:31 YoY

C. Ethnic Subsidiaries : Revenue @ Rs 1010mn v/s 140

- JAYPORE: expanded to 10 stores (7 new in current year) || business grew by 40% YoY
- Shantanu & Nikhil: Full year business grew by 141% YoY || 2 stores opened in FY22 (5 in pipeline for FY23)
- Sabyasachi: Full year business grew by 100% YoY || exploring international market in FY23
- TASVA: Conversion rate strong || opened 4 stores in Q4FY22 planned expansion @ 50 stores FY23

D. Reebok

- Current Revenue run-rate ~ Rs 4bn target to reach Rs ~10bn in-line with other 2 large competitors

E. MASABA

- acquire 51% stake in 'House of Masaba Lifestyle Private Limited' to get entry into branded beauty and personal care segment @ Rs 900mn (this includes secondary and primary infusion) for 51%
- aim to clock Rs 5bn revenues

F. D2C brands subsidiary in the making

- to create platform for Direct to Consumer (D2C) business
- entity will organically incubate and also acquire promising and scalable D2C brands.
- Other than providing growth capital, ABFRL's proposition is built around its strong operational expertise where it will utilize its rich experience and capabilities to scale up this portfolio

Conference Call Key Takeaways

Fund Raise details

- Amount Rs 2195crs from GIC Singapore (via Caladium Investment Pte. Ltd)
- Stake post complete infusion 7.5%
- Approximate time line a) Rs 764 crs by H1FY23 for 1.02crs shares @ Rs 288.75 each (= 295crs) + 25% upfront payment for 6.5crs warrants @ Rs 288.75 each (= Rs 469crs)
- b) Balance 75% i.e. Rs 1425crs payment for 6.5crs warrants @ Rs 288.75 each to be paid in the next 18 months.

Fund Utilization Details

- Amount would be mainly utilised for under-invested business for which expansion plans were held back due to Covid
 - a) Pantaloons where-in 70-75% are own stores
 - b) Renovation of Pantaloon stores
 - c) Investments in warehouse, supply chain and manufacturing (for Lifestyle business)
 - d) Network expansion of Ethnic brands

- **Store Opening targets for FY23**
 - Lifestyle brands ~ 300-400
 - Pantaloons ~65-80 stores (Investment ~ 150crs)
 - Ethnic Brand TASVA target to open 50 stores
 - Jaypore ~ 15-20 stores
 - Sabyasachi to be expand international footprint
- Strategic foray into D2C business with a long-term vision of building a portfolio of digital first brands
- Net Debt @ Rs 504crs (-4% YoY) || Longterm Debt to Equity target remains in the range of 1 to 1.5x
- **Capex target** for FY23 is ~ 700crs

Financials

- March 2022 witnessed +50% growth in Sales
- Lifestyle Retail business LTL @ 13% YoY was aided by Wedding season, comeback of formal wear and sports wear supported by appropriate inventory built-up and some pent-up demand
- Pantaloons lost ~ 150crs sales in Q4FY22 on account of Covid (higher contribution from mall stores) || Feb to April 2022 the performance has been very good || Working capital requirement reduced by ~45crs
- E-com business annual revenue run-rate @ Rs ~1000crs || 50% network omni enabled || Revenue grew by 18% YoY with own website growing +27%
- Ethnic Business annual run-rate @ Rs 400crs
- Gross margins in Q4FY22 were maintained with the help of price increases and lower discounting plus higher share of wedding
- The management is confident that FY23 would be better than FY22 and expansion plans would be back on track..

Quarterly Performance Analysis (standalone)

Exhibit 1

Particulars Rs Mns	Q4FY22	Q4FY21	Growth	Q3FY22	Growth
Revenue from Operations	21813.8	17835.9	22.3	28727.8	(24.1)
Other Income	248.9	202.1	23.2	228.7	8.8
COGS	9904.6	8325.7	19.0	13288	(25.5)
% of sales	45.4%	46.7%		46.3%	
Employee Benefit Expense	2673.2	2204.4	21.3	2881.3	(7.2)
% of sales	12%	12%		10%	
Other Expenses	4140.7	3867	7.1	4991.2	(17.0)
% of sales	19.0%	21.7%		17.4%	
Rent	1382.4	868.8		2013.9	
% of sales	6.3%	4.9%		7.0%	
Total	18100.9	15265.9	18.6	23174.4	(21.9)
% of sales	83%	86%		81%	
EBITDA excluding other income	3712.9	2570	44.5	5553.4	(33.1)
EBITDA MARGINS	17.0%	14.4%		19.3%	
EBITDA including other income	3961.8	2772.1	42.9	5782.1	(31.5)
Depreciation	2505.1	2469.7	1.4	2377.9	5.3
Finance costs	849	1195.9	(29.0)	854.6	(0.7)
exceptional items		0			
PBT	607.7	-893.5		2549.6	(76.2)
Tax	111	454.9		642	
Tax Rate	18%	-51%		25%	
PAT	496.7	-1348.4	(136.8)	1907.6	(74.0)
NPM	2%	-7%		7%	
NPAT	496.7	-1348.4	(136.8)	1907.6	(74.0)
Adjusted PAT	496.7	-1348.4	(136.8)	1907.6	(74.0)
Equity	9382.9	9150.5	2.5	9380.4	0.0
Face Value	10	10		10	
Number of Shares	938.29	915.05	2.5	938.04	0.0
Basic EPS Calculated	0.53	-1.47	-135.92	2.03	(74.0)

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Particulars (Rs. Bn)	FY24
Lifestyle Business	
Sales	65153
EBITDA	11858
Margins	18.2%
EV/EBITDA (x)	18
EV	213442
Pantaloon	
Sales	45605
EBITDA	7069
Margins	16%
EV/EBITDA (x)	15
EV	106032
Other Business	
Sales	12370
EV/Sales (x)	2
EV	24739
Ethnic wear	
Sales	5686
EV/Sales (x)	2
EV	11372
Total EV	355585
Debt + Lease Liability	39117
Cash	28879
Equity Value	345347
No of shares	1014
Per share	340
CMP	257
Upside (%)	32%

Valuation:

We have reworked our numbers for FY23 and FY24 post the conference call and management outlook. We have also assumed dilution on account of the money infusion by GIC Singapore.

The expansion phase for the company's existing and new business is expected to pick-up pace and delivery would be key to watch.

With the recent funding from GIC Singapore the company's has enough Balance Sheet strength along with its existing cash-flows to fund organic as well as in-organic expansions.

We value ABFRL on SOTP basis assigning EV/EBITDA of 18x to Lifestyle brands 15x to Pantaloon and 2x Sales to Other Business and Ethnic Wear business to arrive at a **target price of Rs 340 i.e. an upside of 32% in the next 18-24 months**. We change our recommendation from Accumulate to Buy from long-term perspective.

Financial

P&L (Rs mn) Standalone	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,425.3	51,811.4	78,242.0	108,271.6	123,127.7	Net Profit	(1,439.0)	(6,496.2)	(807.1)	1,660.7	2,677.5
						Add: Dep. & Amort.	8,768.2	9,450.0	9,468.5	11,201.4	13,552.8
						Minority Interest	-	-	-	-	-
Cost of sales	75,171.6	45,868.1	67,447.2	91,881.3	104,811.7	Cash profits	7,329.2	2,953.8	8,661.4	12,862.1	16,230.3
						(Inc)/Dec in					
Operating Profit	12,253.7	5,943.3	10,794.8	16,390.3	18,316.1	-Sundry debtors	(536.0)	2,402.9	(1,545.0)	(2,895.4)	(1,432.4)
Depreciation	8,768.2	9,450.0	9,468.5	11,201.4	13,552.8	-Inventories	(4,281.2)	6,064.7	(9,863.0)	(10,474.9)	(5,182.1)
PBIT	3,485.5	(3,506.7)	1,326.3	5,188.9	4,763.2	-Loans/advances	(20.5)	14.7	(13.9)	(8.7)	(9.4)
Other income	650.9	726.4	940.9	994.4	2,365.5	-Current Liab and Provisions	(2,210.5)	(3,208.2)	14,439.2	3,557.9	5,885.0
Interest	4,227.3	4,983.9	3,401.9	3,963.1	3,549.2	- Other Assets	(572.7)	(1,808.8)	(1,849.3)	(1,133.3)	(1,246.6)
						- Non Current security Deposit	(277.3)	(47.5)	(38.3)	(299.5)	(307.3)
Profit before tax	(90.9)	(7,764.2)	(1,134.8)	2,220.2	3,579.5	Change in working capital	(7,898.2)	3,417.8	1,129.7	(11,253.9)	(2,292.8)
Exceptional and Extra Ordinary	-	-	-	-	-	CF from Oper. activities	(569.0)	6,371.6	9,791.1	1,608.2	13,937.5
share of profit/loss in JV	-	-	-	-	-						
PBT (Post Extra Ordinary)	(90.9)	(7,764.2)	(1,134.8)	2,220.2	3,579.5	CF from Inv. activities	(7,009.3)	(17,411.1)	(14,034.4)	(11,906.5)	(13,920.3)
Provision for tax	1,348.1	(1,268.0)	(327.7)	559.5	902.0						
Reported PAT	(1,439.0)	(6,496.2)	(807.1)	1,660.7	2,677.5	CF from Fin. activities	9,654.9	10,034.2	3,677.2	33,330.5	4,750.3
MI	-	-	-	-	-						
Adjusted PAT	(1,439.0)	(6,496.2)	(807.1)	1,660.7	2,677.5	Cash generated/(utilised)	2,076.6	(1,005.4)	(566.1)	23,032.3	4,767.6
						Cash at start of the year	574.1	2,650.7	1,645.4	1,079.2	24,111.5
						Cash at end of the year	2,650.7	1,645.4	1,079.2	24,111.5	28,879.1
							2,650.7	1,645.4	1,079.2	24,111.5	28,879.1
Balance Sheet	FY20	FY21E	FY22	FY23E	FY23E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	7,739.8	9,150.5	9,382.9	9,485.1	10,143.1	OPM	14.0	11.5	13.8	15.1	14.9
Reserves	3,119.2	17,695.3	19,438.5	49,577.6	70,597.0	NPM	(1.6)	(12.4)	(1.0)	1.5	2.1
Net worth	10,859.0	26,845.8	28,821.4	59,062.6	80,740.1	Tax rate	(1,483.1)	16.3	28.9	25.2	25.2
Minority Interest	-	-	-	-	-	Growth Ratios (%)					
Non Current Liabilities	29,259.3	29,642.0	31,202.7	39,671.3	34,910.0	Net Sales	7.7	(40.7)	51.0	38.4	13.7
						Operating Profit	121.2	(51.5)	81.6	51.8	11.7
Current Liabilities	56,771.3	39,913.8	55,989.9	59,883.1	62,609.9	PBIT	28.3	(200.6)	(137.8)	291.2	(8.2)
						PAT	(144.8)	351.4	(87.6)	(305.8)	61.2
CAPITAL EMPLOYED	96,889.6	96,401.6	116,014.0	158,617.0	178,260.0	Per Share (Rs.)					
						Net Earnings (EPS)	(1.9)	(7.1)	(0.9)	1.8	2.6
Non Current Assets	55,380.7	60,904.1	65,844.5	71,156.9	78,441.0	Cash Earnings (CPS)	(13.2)	3.2	9.2	13.6	16.0
Fixed Assets	29,123.5	26,813.6	29,529.2	34,288.2	40,985.8	Dividend	-	-	-	-	-
Non Current Investments	1,700.1	6,895.3	8,351.2	8,351.2	8,351.2	Book Value	14.0	29.3	30.7	62.3	79.6
Non Current tax assets	222.5	215.5	203.8	203.8	203.8	Free Cash Flow	(9.8)	(12.1)	(4.5)	(10.9)	0.0
Long Term Loans and Advances	34.3	25.9	36.3	38.1	40.0						
Other NON Current Assets	764.8	2,108.1	2,521.3	2,773.4	3,050.8						
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0						
Deferred Tax Assets	1,949.6	3,212.3	3,531.0	3,531.0	3,531.0						
Security Deposits	2,989.9	3,037.4	3,075.7	3,375.2	3,682.5						
Current Assets	41,508.9	35,497.5	50,169.5	87,460.1	99,818.9	Valuation Ratios					
Current investments	-	2,995.3	5,374.2	5,374.2	5,374.2	P/E(x)	(138.2)	(36.2)	(298.8)	146.8	97.4
Inventories	23,494.0	17,429.3	27,292.3	37,767.2	42,949.3	P/B(x)	18.3	8.8	8.4	4.1	3.2
Trade Receivables	8,401.9	5,999.0	7,544.0	10,439.4	11,871.8	EV/EBIDTA(x)	20.0	45.2	25.7	16.3	14.8
Cash and Bank Balances	2,650.7	1,645.4	1,079.2	24,111.5	28,879.1	Div. Yield(%)	-	-	-	-	-
Short Term Loans and Advances	71.2	64.9	68.4	75.2	82.8	FCF Yield(%)	(3.8)	(4.7)	(1.8)	(4.2)	0.0
Other Current Assets	6,891.1	7,363.6	8,811.4	9,692.5	10,661.8						
						Return Ratios (%)					
						ROE	-13%	-24%	-3%	3%	3%
Capital Deployed	96,889.6	96,401.6	116,014.0	158,617.0	178,260.0	ROCE	12%	-7%	6%	8%	9%
Source: Dalal & Broacha Research, Company											

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